

ANI

**IN A TIGHT SPOT**
Sisodia in CBI custody

- When the lowest bidder of the Airport Zone failed to obtain a no-objection certificate from the airport authorities, the earnest money deposited by it—Rs 30 crore—should have been forfeited to the government. Instead, the government refunded the amount
- The excise department revised the formula for calculating the prices of foreign liquor and removed the levy of import pass fee of Rs 50 per case on beer without the competent authority's approval. While this made foreign liquor cheaper for retailers, it also caused loss of revenue
- The policy was extended twice—from April 1 to May 31, 2022, and from June 1 to July 31, 2022—without the approval of the Council of Ministers and L-G. There was no justification why these extensions were given. This went against a proposal approved earlier by the Council of Ministers
- Sisodia tried to legalise these decisions by getting a cabinet nod post facto on July 14, 2022—in violation of laid-down rules and procedures

## THE CBI PROBE

*On July 21, 2022, Lieutenant Governor Vinai Kumar Saxena recommended an investigation by the Central Bureau of Investigation (CBI) based on the chief secretary's report*

### THE CHARGES

- The CBI FIR claims that some of the wholesalers showed discounts to retail vendors and used the funds to bribe the public servants. They showed false entries in their books
- Three close associates of Sisodia—Amit Arora, Dinesh Arora and Arjun Pandey—were allegedly involved in managing and diverting the bribe money collected thus
- Documents seized from Sisodia's computer allegedly show he arbitrarily increased the profit margins of liquor manufacturers from the existing 5 per cent to 12 per cent

## THE SCRAPPING

*On July 28, 2022, the government decided to scrap the new policy and revert to the old one*

- A cabinet note dated July 31, 2022, admitted that despite high sale of liquor, the government lost revenue as retailers and wholesalers were exiting the business
- In the Q1 of FY2022-23, Rs 1,485 crore was realised, 37.51 per cent below the budget estimates
- Only 468 shops were operational. While government lost revenue, there was no decline in the sale of liquor and the slack was picked up by the remaining licence holders resulting in windfall gains to them, said the cabinet note

## WHAT WENT AGAINST HIM

*As Sisodia was 'unable to explain how and why changes were made in the policy, and gave evasive responses', he was arrested on February 26, 2023*

### HIS DEFENCE

*Has said that the policy was implemented following due processes*

- No phone calls, messages or meetings (between liquor manufacturers and officials) can be connected to Sisodia
- Earlier, Sisodia had alleged that Anil Baijal, the L-G at the time of framing the new policy, changed his stance over opening of liquor vends in unauthorised areas just two days before the implementation of the policy to offer undue favour to certain retailers
- "As a result of this change of stand by the L-G, the shops could not be opened in unauthorised areas, leading to a loss of revenue of thousands of crores to the government. On the other hand, the shops that opened witnessed a huge income," said Sisodia
- He claimed on August 6, 2022, that he had written a letter to the CBI demanding a probe against Baijal

### WHAT THE FORMER L-G DID

*Before giving his approval to the new excise policy, the then L-G Baijal had made several observations on it and advised the government to effect certain changes*

- These included eligibility criteria for different kinds of licences to rule out the possibility of monopoly
- On November 5, 2021, Delhi Cabinet approved a proposal allowing retail shops to open in areas where sale of liquor is not permitted, saying DDA/MCD could identify suitable locations for it
- Baijal objected to this proposal on November 15, just two days before the rolling out of the policy
- On December 10, 2021, a committee set up by Baijal submitted its report declining permission to liquor vends in 67 non-confirming wards